AtlasGrid Systems - one-page IC snapshot

SYNTHETIC – NOT INVESTMENT ADVICE

REPRICE

The asking price does not compensate for definition quality, concentration, fully burdened margins, or leverage fragility. A restructured entry with the same debt quantum clears the declared return hurdles.

Decision economics

MEASURE	RESULT	BASIS
Repriced return	23.3%	2.8x MOIC · five-year hold
Complete-cohort NRR	99.9%	Management active-only view: 105.5%
Top-10 parent concentration	20.4%	Entity view: 3.4%
Fully burdened gross margin	72.8%	Reported view: 80.5%
Normalized LTM EBITDA	$25.9M	Seller-adjusted: $34.9M

What blocks advancement

5 blocking issues, including 0 failed quantitative hurdle(s).

- **Validate cancellation rights** - Deal counsel; pre signing. Reduce live-ARR credit or reprice if cancellation rights are broader than modeled.
- **Reconcile parent concentration** - Commercial diligence lead; pre ic. Re-underwrite concentration and price if master agreements reveal greater parent exposure.
- **Support seller EBITDA add-backs** - QoE lead; pre debt commitment. Remove unsupported EBITDA and rerun leverage, covenants, maximum bid, and returns.
- **Confirm lender EBITDA and covenant definitions** - Financing lead; pre debt commitment. Do not commit debt until add-backs, liquidity, and covenant headroom reconcile.

Path to yes

- Counter at a $210M fixed-value cap
- Retain the $120M debt cap
- Give no pricing upside credit
- Tie contingent consideration to verified live ARR, retention, and margin quality

Approval: Requires investment committee approval. No capital action is authorized.

Analysis cutoff: 2026-08-29